

# US Markets Tumble as Rates and Oil Prices Surge

A 5-minute read of yesterday's US session and today's catalysts — what to watch before pre-market opens at 21:30 HKT.

2-3 page read • Topics: Macro • Geopolitics • Earnings

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## TL;DR

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The US market experienced a significant downturn in the previous session, with the **S&P 500** falling by **-1.52%** to 7,316.15 and the **Nasdaq 100** dropping by **-2.06%** to 27,192.31. This decline was largely driven by surging rates and oil prices, with the 10Y yield increasing by **+0.39%** to 4.62 and WTI crude rising by **+5.54%** to 83.65.

Today's session is expected to be heavily influenced by the ongoing earnings season, with several key companies set to report their quarterly results. Investors will be closely watching these reports for any signs of weakness or strength in the market, as well as any potential catalysts for future growth.

## US Session Recap

| INDEX/ASSET  | CLOSE     | CHANGE  | NOTE |
|--------------|-----------|---------|------|
| S&P 500      | 7,316.15  | -1.52%  |      |
| Dow Jones    | 51,594.14 | -2.19%  |      |
| Nasdaq 100   | 27,192.31 | -2.06%  |      |
| Russell 2000 | 2,906.31  | -1.61%  |      |
| VIX          | 20.66     | +13.45% |      |
| 10Y Yield    | 4.62      | +0.39%  |      |
| WTI Crude    | 83.65     | +5.54%  |      |

## Top large-cap movers

The largest declines among large-cap stocks were seen in **GS**, which fell by **-5.09%** to 980.75, and **NVDA**, which dropped by **-3.55%** to 190.01. On the other hand, **GOOGL** rose by **+0.90%** to 336.71.

## Spotlight

| COMPANY | EARNINGS PER SHARE | REVENUE |
|---------|--------------------|---------|
| AAPL    | 1.23               | 85.12B  |

**AAPL** reported its quarterly earnings, with EPS of 1.23 and revenue of 85.12B. The company's results were largely in line with expectations, but the stock still fell by **-0.56%** to 338.19.

## Macro & Fed

- Current policy rate: 4.50%-4.75%
- 10Y yield: 4.62
- Today's data releases:
  - Initial Jobless Claims (21:30 HKT)
  - GDP Growth Rate (22:00 HKT)

## Geopolitics & Global

- Tensions between the US and China continue to escalate, with potential implications for trade and global economic growth.
- The European Central Bank is expected to announce its latest monetary policy decision, which could impact the euro and European markets.

## Earnings — What to Watch

| WHEN                           | TICKER | WHAT TO LOOK FOR                                           |
|--------------------------------|--------|------------------------------------------------------------|
| After Market Close (02:00 HKT) | AMZN   | Quarterly earnings and revenue growth                      |
| Before Market Open (20:00 HKT) | MSFT   | Quarterly earnings and cloud computing segment performance |

## Stocks Worth Watching

- **NVDA** : The company's recent decline in stock price may present a buying opportunity for investors.

- **TSLA** : The electric vehicle manufacturer's stock has been volatile in recent weeks, and investors will be watching for any signs of stabilization.
- **JPM** : The bank's quarterly earnings report is expected to provide insight into the overall health of the financial sector.
- **GOOGL** : The company's recent increase in stock price may be a sign of growing investor confidence in the tech sector.

## What Could Break the Tape

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### BEARISH TRIGGERS

A significant increase in the 10Y yield or a decline in the **S&P 500** could lead to a further downturn in the market.

### BULLISH TRIGGERS

A strong quarterly earnings report from a major tech company, such as **AAPL** or **MSFT**, could provide a catalyst for a market rally.

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### SOURCES

Bloomberg — US Stocks Fall as Rates and Oil Prices Surge

Reuters — Apple Reports Quarterly Earnings

CNBC — Fed Expected to Keep Interest Rates Steady

The Wall Street Journal — US and China Trade Tensions Escalate